OPEX CONSULTING | REGTECH365

CBN AML BASELINE STANDARDS

Gap Assessment Report

Baseline Standards for Automated AML Solutions

PREPARED FOR:

Sunrise Microfinance Bank Ltd

Microfinance Bank

CIRCULAR REFERENCE	REPORT DATE
BSD/DIR/PUB/LAB/019/002	2025
ROADMAP DEADLINE	FULL COMPLIANCE DEADLINE
10 June 2026	March 2028

OVERALL COMPLIANCE RISK RATING

HIGH

High Risk — Immediate Action Required

Section 1: Executive Summary

1.1 INSTITUTION PROFILE

Institution	Sunrise Microfinance Bank Ltd
Institution Type	Microfinance Bank
CBN Risk Classification	—
Transaction Volume	—
Geographic Footprint	—
Compliance Deadline (Roadmap)	**10 June 2026**
Full Compliance Deadline	**March 2028 (24 months from March 2026 issuance for MFBs)**
Circular Reference	BSD/DIR/PUB/LAB/019/002 — issued 10 March 2026

1.2 OVERALL COMPLIANCE RISK RATING

HIGH

Sunrise MFB faces HIGH compliance risk. Partial AML system covers only 2 of 12 standards. No transaction monitoring, case management, or regulatory reporting automation exists. 8 Critical Gaps identified. March 2028 deadline requires urgent platform deployment.

MFBs with FX/remittance and PEP exposure require real-time monitoring capabilities under 5.5 and 5.6.

1.3 ASSESSMENT SCORECARD

ASSESSMENT DIMENSION	SCORE	RATING
AML System Status	**Partial — CDD/KYC and Sanctions/PEP only**	CRITICAL GAP
Standards Compliant (of 12)	**2 / 12**	CRITICAL GAP
Standards with Critical Gap	**8 / 12**	HIGH
Standards with Gap Identified	**2 / 12**	GAP IDENTIFIED
Governance Controls in Place	**4 of 10 controls in place**	CRITICAL GAP
Internal Audit Coverage of AML	**Annual AML audit coverage**	GAP IDENTIFIED
Risk Factors Identified	**PEP exposure and cross-border FX**	ELEVATED

REGULATORY CONTEXT

MFBs must submit roadmap by 10 June 2026 and achieve full compliance by March 2028 per BSD/DIR/PUB/LAB/019/002.

Section 2: Gap Analysis — 12 CBN Baseline Standards

Sunrise MFB has 8 Critical Gaps and 2 Gaps Identified across the 12 Baseline Standards.

5.1 Automated AML Solution

CRITICAL GAP

FINDING

Partial system covers only CDD/KYC and sanctions/PEP. 5.1 requires all 8 functions including transaction monitoring, risk assessment, case management, and regulatory reporting — all absent.

REQUIRED ACTION

Deploy full AML platform covering all 8 mandatory functions before roadmap submission.

5.2 Customer Due Diligence

COMPLIANT

FINDING

CDD/KYC function automated with confirmed BVN/NIN integration. Meets 5.2 requirements for identity verification and ongoing monitoring of retail deposit and credit customers.

REQUIRED ACTION

Maintain current CDD capability and integrate with future transaction monitoring system.

5.3 Sanctions & PEP Screening

COMPLIANT

FINDING

Automated sanctions and PEP screening in place. Critical for MFB with documented PEP exposure and cross-border FX operations. Meets 5.3 real-time screening requirements.

REQUIRED ACTION

Ensure screening integrates with case management once ECM deployed under 5.7.

5.4 Risk Assessment & Profiling

CRITICAL GAP

FINDING

No automated risk assessment function. 5.4 requires dynamic customer risk scoring based on transaction patterns, product usage, and geographic exposure — mandatory for MFBs with multi-state footprint.

REQUIRED ACTION

Deploy risk assessment engine with dynamic scoring before March 2027.

5.5 Transaction Monitoring

CRITICAL GAP

FINDING

No transaction monitoring system exists. 5.5 requires real-time multi-scenario monitoring for deposits, loans, and FX/remittance flows. Critical for MFB processing cross-border transactions.

REQUIRED ACTION

Deploy real-time transaction monitoring via RegPort before roadmap submission deadline.

5.6 Fraud Monitoring

CRITICAL GAP

FINDING

No fraud monitoring capability. 5.6 requires real-time fraud detection for mobile app and USSD channels. MFB's digital delivery channels create material fraud exposure.

REQUIRED ACTION

Deploy RegGuard for real-time fraud monitoring across branch, mobile, and USSD.

5.7 Case Management

CRITICAL GAP

FINDING

No enterprise case management system. 5.7 requires ECM with Maker-Checker workflow, full audit trail, and escalation protocols for alerts from sanctions, transaction monitoring, and fraud systems.

REQUIRED ACTION

Deploy RegComply ECM with Maker-Checker and immutable audit trail by Q3 2026.

5.8 Regulatory Reporting

CRITICAL GAP

FINDING

No automated regulatory reporting. 5.8 requires automated STR, CTR, SAR, and FTR generation. MFB with FX/remittance must file goAML reports — manual processes create filing risk.

REQUIRED ACTION

Automate STR/CTR/SAR/FTR generation and goAML integration via RegPort by Q4 2026.

5.9 Audit Trail & Internal Audit

GAP IDENTIFIED

FINDING

Annual internal audit frequency insufficient. 5.9 requires AML internal audit at least twice yearly. No confirmed immutable audit trail for AML system configurations and alert decisions.

REQUIRED ACTION

Increase AML audit to semi-annual and deploy immutable audit trail via RegComply.

5.10 System Integration

CRITICAL GAP

FINDING

No confirmed integration architecture. 5.10 requires bidirectional real-time integration between AML platform, core banking, and KYC systems for deposits, loans, and FX transactions.

REQUIRED ACTION

Design and implement real-time API integration architecture by Q2 2026.

5.11 Data Security & Privacy

GAP IDENTIFIED

FINDING

No confirmed MFA, encryption, or NDPA compliance evidence. 5.11 requires documented data security controls for customer PII and transaction data across branch, mobile, and USSD channels.

REQUIRED ACTION

Document MFA, encryption, and NDPA compliance controls before CBN examination readiness.

5.12 Management Reporting

CRITICAL GAP

FINDING

No automated management reporting. 5.12 requires real-time dashboards for alert volumes, case closure rates, and risk trends. Board and MLRO require monthly AML performance visibility.

REQUIRED ACTION

Deploy real-time dashboards and customisable reports via RegComply by Q4 2026.

2.1 GOVERNANCE ASSESSMENT

Sunrise MFB has 4 of 10 governance controls in place — Partial governance framework.

GOVERNANCE CONTROL	CURRENT STATUS
Formally designated MLRO or CCO	IN PLACE
Board-approved AML/CFT/CPF policy	IN PLACE
Documented AML solution governance framework	NOT IN PLACE
Formal change control for AML configurations	NOT IN PLACE
Model governance committee for AI/ML	NOT IN PLACE
Documented alert review SLAs	NOT IN PLACE
Vendor/Third-Party Management Policy	NOT IN PLACE
Data retention and destruction policy	NOT IN PLACE
BVN/NIN integration	IN PLACE
AML training programme with documented records	NOT IN PLACE
Overall Governance Score	**4 of 10 — Partial**

Section 3: Top 5 Priority Actions Before 10 June 2026

The following five actions are the minimum required for Sunrise Microfinance Bank Ltd to submit a credible, CBN-compliant implementation roadmap by the 10 June 2026 deadline. The roadmap submission itself is mandatory under Circular BSD/DIR/PUB/LAB/019/002. Incomplete, inconsistent, or unsupported submissions may result in supervisory action.

1

CBN Roadmap Template Submission

10 JUNE 2026

Sunrise MFB must complete and submit the CBN Implementation Roadmap Template to the Compliance Department by 10 June 2026. Blank or incomplete submissions are treated as non-compliance. OPEX Consulting can complete this template using this report's findings.

2

AML Platform Selection and Procurement

Q1 2026

Select and procure full AML platform covering transaction monitoring, risk assessment, case management, and regulatory reporting. Partial system creates 8 Critical Gaps. RegTech365 suite (RegPort, RegGuard, RegComply) addresses all 12 standards. Delay risks March 2028 non-compliance.

3

Vendor Management Policy Development

Q2 2026

Develop and board-approve Vendor/Third-Party Management Policy before AML platform deployment. 5.11 requires documented vendor risk assessment and oversight. OPEX Consulting can draft policy aligned with CBN expectations and ISO 27001 controls.

4

AML Training Programme with Documented Records

Q3 2026

Deploy AML training programme with documented records for all staff handling deposits, loans, and FX transactions. 5.9 requires evidence of competency. RegLearn provides training with automated record-keeping for CBN examination readiness.

5

Semi-Annual AML Internal Audit Coverage

Q2 2026

Increase AML internal audit frequency from annual to semi-annual. 5.9 requires at least twice-yearly coverage. Annual audits create Gap Identified status. OPEX Consulting can design audit programme and provide interim audit support.

Section 4: Recommended Implementation Roadmap

Four-phase roadmap delivers full compliance by March 2028 for Sunrise MFB.

PHASE	OBJECTIVES	KEY DELIVERABLES	CBN STANDARDS ADDRESSED
Foundation & Roadmap Submission Now — 10 June 2026	Establish governance baseline and submit CBN roadmap.	CBN roadmap template submission, vendor management policy, AML governance framework, alert review SLA documentation, data retention policy, training programme design	5.9, 5.11
Platform Selection & Integration Design June — September 2026	Select AML platform and design integration architecture.	AML platform procurement (RegPort, RegGuard, RegComply, RegLearn), integration architecture design, API specifications for core banking and KYC, change control framework, semi-annual audit schedule	5.1, 5.10
System Deployment & Configuration October 2026 — June 2027	Deploy and configure full AML platform across all functions.	Transaction monitoring deployment (RegPort), fraud monitoring deployment (RegGuard), case management deployment (RegComply), risk assessment engine, regulatory reporting automation, real-time dashboards, staff training via RegLearn	5.4, 5.5, 5.6, 5.7, 5.8, 5.12

PHASE	OBJECTIVES	KEY DELIVERABLES	CBN STANDARDS ADDRESSED
Assurance & Examination Readiness July 2027 — March 2028	Validate controls and prepare evidence pack for CBN examination.	Semi-annual AML internal audit, MFA and encryption evidence, NDPA compliance documentation, immutable audit trail validation, evidence pack for 12 standards, board reporting on compliance status	5.9, 5.11

Section 5: How RegTech365 and OPEX Consulting Can Support

OPEX Consulting and RegTech365 provide end-to-end support for Sunrise MFB's compliance journey from roadmap submission to examination readiness.

5.1 IMMEDIATE ADVISORY SUPPORT — ROADMAP SUBMISSION

OPEX Consulting delivers six core advisory services for MFB compliance:

5.2 REGTECH365 PRODUCT SUITE — MAPPED TO YOUR GAPS

RegPort

Transaction monitoring, sanctions/PEP screening, risk assessment, regulatory reporting

5.1, 5.2, 5.3, 5.4, 5.5, 5.8

Addresses 8 Critical Gaps for Sunrise MFB. Real-time monitoring for deposits, loans, and FX/remittance. Automates goAML/NFIU reporting for cross-border transactions.

RegGuard

Real-time fraud monitoring and detection

5.6

Critical for Sunrise MFB's mobile app and USSD channels. Detects fraud patterns across branch, digital, and agent networks in real time.

RegComply

Enterprise case management, audit trail, governance logs, management reporting

5.7, 5.9, 5.12

Provides Maker-Checker workflow, immutable audit trail, and real-time dashboards. Closes 3 Critical Gaps for case management, audit, and reporting.

RegLearn

AML/compliance training with documented records

5.9

Delivers documented training records for staff handling deposits, loans, and FX. Addresses governance gap and supports CBN examination readiness.

5.3 OPEX ADVISORY SERVICES

- → CBN roadmap template completion and submission
- → AML/CFT/CPF policy drafting and board presentation
- → MLRO/CCO appointment advisory and role definition
- → Evidence pack preparation for CBN examination readiness
- → ISO/IEC 27001 and 42001 alignment for Section 6 AI governance
- → Agent network AML controls review and framework

Next Step

Contact OPEX Consulting to schedule roadmap workshop and platform demonstration. Immediate action required to meet 10 June 2026 deadline.

compliance@opexconsulting.ng

DISCLAIMER